



General Assembly

February Session, 2026

Substitute Bill No. 5571



AN ACT ESTABLISHING A TAX CREDIT FOR QUALIFIED OPERATORS AND A WORKING GROUP TO EXAMINE MARKET-BASED SOURCING FOR CERTAIN INVESTMENT ASSETS INCOME AND CONCERNING THE ANGEL INVESTOR TAX CREDIT AND THE DEFINITIONS FOR CERTAIN TAX CREDITS.

Be it enacted by the Senate and House of Representatives in General Assembly convened:

1 Section 1. (NEW) (*Effective from passage and applicable to income and*
2 *taxable years commencing on or after January 1, 2026*) (a) As used in this
3 section, "qualified operator" means a party to a facility management
4 agreement with the Capital Region Development Authority established
5 pursuant to section 32-601 of the general statutes to operate the civic
6 center and coliseum complex in the city of Hartford known as
7 PeoplesBank Arena and "qualified agreement" means an agreement
8 between a qualified operator and a state agency, as defined in section 4-
9 37e of the general statutes, in which the state agency commits to
10 schedule and host a minimum of fifteen events annually at the
11 PeoplesBank Arena for a term of not less than fifteen years and the
12 qualified operator agrees to operate and promote each such event at the
13 facility during the term of the agreement.

14 (b) For income and taxable years commencing on or after January 1,
15 2026, there shall be allowed a credit against the tax imposed by chapter
16 208, 228z or 229 of the general statutes, other than the liability imposed
17 by section 12-707 of the general statutes, for any income or taxable year

18 in which the qualified operator is a party to a qualified agreement on
19 the last day of the income or taxable year. The amount of the credit shall
20 not exceed five million dollars for any income or taxable year. The
21 aggregate amount of the credits allowed under this section shall not
22 exceed ten million dollars.

23 (c) Any qualified operator that is subject to a tax imposed under
24 chapter 208, 228z or 229 of the general statutes may apply to the
25 Department of Revenue Services, in such form and manner as
26 prescribed by the Commissioner of Revenue Services, to reserve an
27 allocation for a credit under this section. The application shall contain
28 such information as the commissioner deems necessary to verify a
29 qualified operator's eligibility for the credit under this section. If the
30 commissioner approves such application, the commissioner shall
31 provide a voucher to the qualified operator for the amount allocated.

32 (d) If the amount of the credit allowed pursuant to this section
33 exceeds the taxpayer's liability for the tax imposed under chapter 208,
34 228z or 229 of the general statutes, the Commissioner of Revenue
35 Services shall treat such excess as an overpayment and, except as
36 provided in section 12-739 or 12-742 of the general statutes, shall refund
37 the amount of such excess, without interest, to such taxpayer.

38 (e) If the taxpayer is an S corporation or an entity treated as a
39 partnership for federal income tax purposes, the credit may be claimed
40 by the taxpayer's shareholders or partners. If such taxpayer is a single
41 member limited liability company that is disregarded as an entity
42 separate from its owner, the credit may be claimed by such limited
43 liability company's owner, provided such owner is subject to the tax
44 imposed under chapter 208, 228z or 229 of the general statutes.

45 Sec. 2. (*Effective from passage*) (a) There is established a working group
46 to examine the issue of the state's application of market-based sourcing
47 to income from investment assets for financial institutions as it relates
48 to modern sourcing policy, economic competitiveness, support of in-
49 state jobs and equitable treatment of the tax base and in-state services.

50 (b) The working group shall consist of the following members or their
51 designees:

52 (1) The chairpersons of the joint standing committees of the General
53 Assembly having cognizance of matters relating to finance, revenue and
54 bonding and banking;

55 (2) The Commissioner of Revenue Services and the Banking
56 Commissioner; and

57 (3) The Secretary of the Office of Policy and Management.

58 (c) The working group may consult with any individuals or entities
59 relevant to or informative for the examination.

60 (d) The chairpersons of the joint standing committee of the General
61 Assembly having cognizance of matters relating to finance, revenue and
62 bonding shall serve as chairpersons of the working group and shall
63 schedule the first meeting of the working group, which shall be held not
64 later than sixty days after the effective date of this section.

65 (e) The administrative staff of the joint standing committee of the
66 General Assembly having cognizance of matters relating to finance,
67 revenue and bonding shall serve as administrative staff of the working
68 group.

69 (f) Not later than January 1, 2027, the working group shall submit a
70 report on its findings and recommendations to the joint standing
71 committees of the General Assembly having cognizance of matters
72 relating to finance, revenue and bonding and banking, in accordance
73 with the provisions of section 11-4a of the general statutes. The working
74 group shall terminate on the date that it submits such report or January
75 1, 2027, whichever is later.

76 Sec. 3. Section 12-704d of the general statutes is repealed and the
77 following is substituted in lieu thereof (*Effective July 1, 2026*):

78 (a) As used in this section:

79 (1) "Angel investor" means an accredited investor, as defined by the
80 Securities and Exchange Commission, or network of accredited
81 investors who review new or proposed businesses for potential
82 investment and who may seek active involvement, such as consulting
83 and mentoring, in a qualified Connecticut business or a qualified
84 cannabis business, but "angel investor" does not include (A) a person
85 controlling fifty per cent or more of the Connecticut business or cannabis
86 business invested in by the angel investor, (B) a venture capital
87 company, or (C) any bank, bank and trust company, insurance
88 company, trust company, national bank, savings association or building
89 and loan association for activities that are a part of its normal course of
90 business;

91 (2) "Cash investment" means the contribution of cash, at a risk of loss,
92 to a qualified Connecticut business or a qualified cannabis business in
93 exchange for qualified securities;

94 (3) "Connecticut business" means any business, other than a cannabis
95 business, with its principal place of business in Connecticut;

96 (4) "Related person" has the same meaning as provided in section 12-
97 217w;

98 (5) "Control" has the same meaning as provided in section 12-217w;

99 [(4)] (6) "Bioscience" means manufacturing pharmaceuticals,
100 medicines, medical equipment or medical devices and analytical
101 laboratory instruments, operating medical or diagnostic testing
102 laboratories, or conducting pure research and development in life
103 sciences;

104 [(5)] (7) "Advanced materials" means developing, formulating or
105 manufacturing advanced alloys, coatings, lubricants, refrigerants,
106 surfactants, emulsifiers or substrates;

107 [(6)] (8) "Photonics" means generation, emission, transmission,
108 modulation, signal processing, switching, amplification, detection and

109 sensing of light from ultraviolet to infrared and the manufacture,
110 research or development of opto-electronic devices, including, but not
111 limited to, lasers, masers, fiber optic devices, quantum devices,
112 holographic devices and related technologies;

113 [(7)] (9) "Information technology" means software publishing, motion
114 picture and video production, teleproduction and postproduction
115 services, telecommunications, data processing, hosting and related
116 services, custom computer programming services, computer system
117 design, computer facilities management services, other computer
118 related services and computer training;

119 [(8)] (10) "Clean technology" means the production, manufacture,
120 design, research or development of clean energy, green buildings, smart
121 grid, high-efficiency transportation vehicles and alternative fuels,
122 environmental products, environmental remediation and pollution
123 prevention;

124 [(9)] (11) "Qualified securities" means any form of equity, including a
125 general or limited partnership interest, common stock, preferred stock,
126 with or without voting rights, without regard to seniority position that
127 must be convertible into common stock;

128 [(10)] (12) "Emerging technology business" means any business that
129 is engaged in bioscience, advanced materials, photonics, information
130 technology, clean technology or any other emerging technology as
131 determined by the Commissioner of Economic and Community
132 Development;

133 [(11)] (13) "Cannabis business" means a cannabis establishment (A)
134 for which a social equity applicant has been granted a provisional
135 license or a license, (B) in which a social equity applicant or social equity
136 applicants have an ownership interest of at least sixty-five per cent, and
137 (C) such social equity applicant or social equity applicants have control
138 of such establishment;

139 [(12)] (14) "Social equity applicant" has the same meaning as provided

140 in section 21a-420;

141 [(13)] (15) "Cannabis" has the same meaning as provided in section
142 21a-420; and

143 [(14)] (16) "Cannabis establishment" has the same meaning as
144 provided in section 21a-420.

145 (b) There shall be allowed a credit against the tax imposed under this
146 chapter, other than the liability imposed by section 12-707, for a cash
147 investment by an angel investor of not less than twenty-five thousand
148 dollars in the qualified securities of a Connecticut business or a cannabis
149 business. The credit shall be in an amount equal to (1) twenty-five per
150 cent of such investor's cash investment in a Connecticut business, or (2)
151 forty per cent of such investor's cash investment in a cannabis business,
152 provided the total tax credits allowed to any angel investor shall not
153 exceed five hundred thousand dollars. The credit shall be claimed in the
154 taxable year in which such cash investment is made by the angel
155 investor. The credit may be sold, assigned or otherwise transferred, in
156 whole or in part.

157 (c) To qualify for a tax credit pursuant to this section, a cash
158 investment shall be in:

159 (1) A Connecticut business that (A) has been approved as a qualified
160 Connecticut business pursuant to subsection (d) of this section; (B) had
161 annual gross revenues of less than one million dollars in the most recent
162 income year of such business; (C) has fewer than twenty-five employees,
163 not less than [seventy-five] fifty per cent of whom reside in this state;
164 (D) has been operating in this state for less than seven consecutive years;
165 (E) is primarily owned by the management of the business and their
166 families; and (F) received less than two million dollars in cash
167 investments eligible for the tax credits provided by this section; or

168 (2) A cannabis business that (A) has been approved as a qualified
169 cannabis business pursuant to subsection (d) of this section; (B) had
170 annual gross revenues of less than one million dollars in the most recent

171 income year of such business; (C) has fewer than twenty-five employees,
172 not less than seventy-five per cent of whom reside in this state; (D) is
173 primarily owned by the management of the business and their families;
174 and (E) received less than two million dollars in cash investments
175 eligible for the tax credits provided by this section.

176 (d) (1) A Connecticut business or a cannabis business may apply to
177 Connecticut Innovations, Incorporated, for approval as a Connecticut
178 business or cannabis business, as applicable, qualified to receive cash
179 investments eligible for a tax credit pursuant to this section, provided
180 on and after July 1, 2026, separate applications from a Connecticut
181 business and related persons thereto shall be considered a single
182 application for a Connecticut business for purposes of this section. The
183 application shall include (A) the name of the business and a copy of the
184 organizational documents of such business, (B) a business plan,
185 including a description of the business and the management, product,
186 market and financial plan of the business, (C) a description of the
187 business's innovative technology, product or service, (D) a statement of
188 the potential economic impact of the business, including the number,
189 location and types of jobs expected to be created, (E) a description of the
190 qualified securities to be issued and the amount of cash investment
191 sought by the business, (F) a statement of the amount, timing and
192 projected use of the proceeds to be raised from the proposed sale of
193 qualified securities, and (G) such other information as the chief
194 executive officer of Connecticut Innovations, Incorporated, may require.

195 (2) Said chief executive officer shall, on a monthly basis, compile a list
196 of approved applications, categorized by the cash investments being
197 sought by the qualified Connecticut business or the qualified cannabis
198 business and type of qualified securities offered.

199 (e) (1) Any angel investor that intends to make a cash investment in
200 a business on such list may apply to Connecticut Innovations,
201 Incorporated, to reserve a tax credit in the amount indicated by such
202 investor. Connecticut Innovations, Incorporated, shall not reserve tax
203 credits under this section for any investments made in a qualified

204 Connecticut business on or after July 1, 2028, or for any investments
205 made in a qualified cannabis business on or after July 1, 2023.

206 (2) The aggregate amount of all tax credits under this section that may
207 be reserved by Connecticut Innovations, Incorporated, shall not exceed
208 (A) for cash investments made in qualified Connecticut businesses, six
209 million dollars annually for the fiscal years commencing July 1, 2010, to
210 July 1, 2012, inclusive, and five million dollars for each fiscal year
211 thereafter, and (B) for cash investments made in qualified cannabis
212 businesses, fifteen million dollars annually for the fiscal years
213 commencing July 1, 2021, and July 1, 2022.

214 (3) With respect to the tax credits available under this section for
215 investments in qualified Connecticut businesses, Connecticut
216 Innovations, Incorporated, shall not reserve more than seventy-five per
217 cent of such tax credits for investments in emerging technology
218 businesses, except if any such credits remain available for reservation
219 after April first in any fiscal year, such remaining credits may be
220 reserved for investments in such businesses and may be prioritized for
221 veteran-owned, women-owned or minority-owned businesses and
222 businesses owned by individuals with disabilities.

223 (4) The amount of the credit allowed to any investor pursuant to this
224 section shall not exceed the amount of tax due from such investor under
225 this chapter, other than section 12-707, with respect to such taxable year.
226 Any tax credit that is claimed by the angel investor but not applied
227 against the tax due under this chapter, other than the liability imposed
228 under section 12-707, may be carried forward for the five immediately
229 succeeding taxable years until the full credit has been applied.

230 (f) If the angel investor is an S corporation or an entity treated as a
231 partnership for federal income tax purposes, the tax credit may be
232 claimed by the shareholders or partners of the angel investor. If the
233 angel investor is a single member limited liability company that is
234 disregarded as an entity separate from its owner, the tax credit may be
235 claimed by such limited liability company's owner, provided such

236 owner is a person subject to the tax imposed under this chapter.

237 (g) A review of the cumulative effectiveness of the credit under this
238 section shall be conducted by Connecticut Innovations, Incorporated, by
239 July first annually. Such review shall include, but need not be limited to,
240 the number and type of Connecticut businesses and cannabis businesses
241 that received angel investments, the number of angel investors and the
242 aggregate amount of cash investments, the current status of each
243 Connecticut business and cannabis business that received angel
244 investments, the number of employees employed in each year following
245 the year in which such Connecticut business or cannabis business
246 received the angel investment and the economic impact in the state of
247 the Connecticut business or cannabis business that received the angel
248 investment. Such review shall be submitted to the Office of Policy and
249 Management and to the joint standing committee of the General
250 Assembly having cognizance of matters relating to commerce, in
251 accordance with the provisions of section 11-4a.

252 Sec. 4. Subdivision (1) of subsection (a) of section 12-217j of the 2026
253 supplement to the general statutes is repealed and the following is
254 substituted in lieu thereof (*Effective October 1, 2026*):

255 (a) (1) There shall be allowed as a credit against the tax imposed on
256 any taxpayer under this chapter, with respect to income years of such
257 taxpayer commencing on or after January 1, 1994, an amount equal to
258 twenty per cent of the amount spent by such taxpayer directly on
259 research and experimental expenditures, as [defined in Section 174 of
260 the Internal Revenue Code of 1986, or any subsequent corresponding
261 internal revenue code of the United States, as from time to time
262 amended, which] described in subdivision (1) of subsection (b) of
263 section 12-217n, that are conducted in this state and [which] that exceeds
264 the amount spent by such taxpayer during the preceding income year
265 of such taxpayer for such expenditures.

266 Sec. 5. Subsection (a) of section 12-217vv of the 2026 supplement to
267 the general statutes is repealed and the following is substituted in lieu

268 thereof (*Effective from passage and applicable to income and taxable years*
269 *commencing on or after January 1, 2026*):

270 (a) As used in this section:

271 (1) "Eligible farmer" means a taxpayer in this state whose federal
272 gross income from farming for the income or taxable year is (A) at least
273 two-thirds of excess federal gross income, or (B) not less than two
274 hundred fifty thousand dollars;

275 (2) "Excess federal gross income" means the amount of federal gross
276 income from all sources for the income or taxable year in excess of thirty
277 thousand dollars;

278 (3) "Agricultural production" has the same meaning as provided in
279 subdivision (63) of section 12-412;

280 (4) "Farm investment property" means machinery and equipment
281 that are acquired by purchase by an eligible farmer on or after January
282 1, 2026, and buildings and structural components of buildings that are
283 acquired, constructed, reconstructed or erected by an eligible farmer
284 and placed in service on or after January 1, 2026, and (A) are situated in
285 this state, (B) have a class life of more than four years, as described in
286 Section 168(e) of the Internal Revenue Code of 1986, or any subsequent
287 corresponding internal revenue code of the United States, as amended
288 from time to time, (C) are acquired by an eligible farmer from a person
289 other than a related person, (D) are not acquired to be leased, and are
290 not leased, to another person or persons during the twelve full months
291 following their acquisition or placement in service, and (E) will be held
292 and used in this state by the eligible farmer in the ordinary course of
293 agricultural production for not less than five full years following the
294 date of acquisition of such machinery and equipment or the date of
295 placement in service of such buildings;

296 (5) "Related person" means (A) a corporation, limited liability
297 company, partnership, association or trust controlled by the taxpayer,
298 (B) an individual, corporation, limited liability company, partnership,

299 association or trust that is in control of the taxpayer, (C) a corporation,
 300 limited liability company, partnership, association or trust controlled by
 301 an individual, corporation, limited liability company, partnership,
 302 association or trust that is in control of the taxpayer, or (D) a member of
 303 the same controlled group as the taxpayer; and

304 (6) "Control" means (A) with respect to a corporation, ownership,
 305 directly or indirectly, of stock possessing fifty per cent or more of the
 306 total combined voting power of all classes of the stock of such
 307 corporation entitled to vote, or (B) with respect to a trust, ownership,
 308 directly or indirectly, of fifty per cent or more of the beneficial interest
 309 in the principal or income of such trust. The ownership (i) of stock in a
 310 corporation, (ii) of a capital or profits interest in a partnership or
 311 association, or (iii) of a beneficial interest in a trust shall be determined
 312 in accordance with the rules for constructive ownership of stock
 313 provided in Section 267(c) of the Internal Revenue Code of 1986, or any
 314 subsequent corresponding internal revenue code of the United States,
 315 as amended from time to time, other than paragraph (3) of said section.

316 Sec. 6. Section 12-217ww of the 2026 supplement to the general
 317 statutes is repealed. (*Effective from passage*)

This act shall take effect as follows and shall amend the following sections:		
Section 1	<i>from passage and applicable to income and taxable years commencing on or after January 1, 2026</i>	New section
Sec. 2	<i>from passage</i>	New section
Sec. 3	<i>July 1, 2026</i>	12-704d
Sec. 4	<i>October 1, 2026</i>	12-217j(a)(1)
Sec. 5	<i>from passage and applicable to income and taxable years commencing on or after January 1, 2026</i>	12-217vv(a)
Sec. 6	<i>from passage</i>	Repealer section

Statement of Legislative Commissioners:

In Section 1(b), "years" was changed to "dollars" for accuracy. In Section 3(d)(1), "any application" was changed to "separate applications" and "single Connecticut business" was changed to "single application for a Connecticut business" for clarity, and Section 4 was redrafted for accuracy.

FIN *Joint Favorable Subst. -LCO*